DAY 5:
LOWER YOUR HOME INSURANCE POLICY

Neither of us wants to think about needing home insurance, but as we've already discussed in the chapter about home repairs, a lot can go wrong when you own such a big asset. Accidental fires, stolen property, potential floods, and other natural disasters (some even requiring additional policies), make your home sound like a house of straw from a fairy tale, rather than a protective fortress!

I think we can all agree that homeowner's insurance is a good idea. Some of us may not have a choice in the matter (banks require insurance if you hold a mortgage), but very few would ever consider *not* having it at all.

The problem lies in knowing how much to spend versus the amount of coverage or protection we need. Because when you break it down, home insurance is mainly a matter of risk. We're betting that any potential house issues will be covered by insurance, while the insurance company is betting we will rarely need to use the policy we signed up for. The crucial point is finding a balance of both coverage and cost, and there are a lot of variables at play in deciding exactly where that middle ground is.

In preparing for this chapter, I read a lot of articles encouraging homeowners just to drop unnecessary coverage in order to reach that perfect balance. Seems reasonable, right? But after talking extensively with an independent insurance agent to verify this, I discovered it's not that simple. Most companies already start your policy at the lowest insurance limits they allow, and much of what is covered is already included as one flat rate, or as a percentage of your home's value.

So is there any hope in lowering your home insurance? You bet! It might seem like you can't control the price the same way you can with your grocery bill or clothing budget, but there are still a few ways to make sure your policy is the lowest it can go without sacrificing necessary coverage.

1. UNDERSTAND YOUR POLICY